

INDIAN ECONOMY

LEVEL
II



LECTURES

- DEBATABLE ISSUES IN INDIAN ECONOMY
- WHAT DO YOU UNDERSTAND BY PLANNING?
- EFFORTS BEFORE INDEPENDENCE

MODULE - 5



EXPECTED QUESTIONS FROM UPSC MAINS PERSPECTIVE



7 What do you understand by Planning? There were diverse views among the thinkers with regard to the Planning during the years prior to Independence. Elaborate.

8 Narrate the developments and thought process during the pre-Independence era, which culminated in the establishment of Planning Commission.

INDIAN ECONOMY SINCE INDEPENDENCE ...

ISSUES OFTEN DEBATED!

1 OPTING INDUSTRY AS INDIA'S PRIME MOVING FORCE

- India opted for **industry** to be India's **Prime Moving Force** after independence.
- There was huge debate that India could have gone for **agriculture** as the Prime Moving Force for better prospects of development.
- Fertile land** is easily available and not many skills were required but India opted for industry as the **Prime Moving Force**.



2 STATE PROTECTION FOR LONG DURATION

State protection is given for around **4-5 decades** and several sectors were kept as prerogatives of the State and this was often questioned by the economists.



INDIAN ECONOMY SINCE INDEPENDENCE ...

ISSUES OFTEN DEBATED!

3 DELAY IN LIBERALISATION

- The liberalisation processes started in 1991.
- Several East Asian economies started liberalisation much early.
- It is a debatable point whether India could have started liberalisation in 1970s.



4 AFTER LIBERALISATION ... PRIVATISATION DRAGGED ITS FEET!

- After liberalisation the State-owned enterprises still continuing, in spite of losses.
- Government could not take decisive steps with regard to privatisation.
- Now only Government took a decision to exit non-strategic enterprises.



INDIAN ECONOMY SINCE INDEPENDENCE ...

ISSUES OFTEN DEBATED!

5 NEGLECT OF AGRICULTURE AFTER LIBERALISATION

After liberalisation, research and development in agriculture was neglected and the reasons for part of the distress in agriculture, what we are seeing, can be traced to the failure of the Government towards R&D in agriculture and reduction in the public investment in agriculture.



6 FAILURE OF MANUFACTURING AFTER LIBERALISATION

Due to the absence of proper manufacturing ecosystem, the shift is taking place from agriculture to low-paid services.



INDIAN ECONOMY SINCE INDEPENDENCE ...

ISSUES OFTEN DEBATED!

7 SERVICES DRIVEN BY TECH-BASED GLOBALISATION

- After economic reforms, the growth in services is driven by globalization rather than Government efforts.
- Government could not make much impact where its presence is needed the most like agriculture, labour-oriented manufacturing.



8 RETREAT FROM HUMAN RESOURCES

In comparison to 1991, now more percentage of population are dependent on private sector for education and health and this shows the retreat of the Government from human resources.



INDIAN ECONOMY SINCE INDEPENDENCE ...

ISSUES OFTEN DEBATED!



9

MISSING MIDDLE

- The Government policies with the categorization of MSMEs and the support given to them kept **several** of them **micro**.
- India has **too many micro** and **few big enterprises**.
- This paradigm is called "**Missing Middle**" and Government policies **partly** considered **responsible** to this.

HOW DO YOU DEFINE PLANNING?

1

ALLOCATION OF RESOURCES

Government's arrangement regarding allocation of country's labour, foreign exchange, raw materials and other resources between different branches of economy.



2

DELIBERATE CHOICE OF PRIORITIES

Deliberate choice of economic priorities and allocation of resources for achieving certain objectives in a given period of time.



3

IN THE WORDS OF H.D. DICKINSON

“Making of major economic decisions what and how much is to be produced, how, when and where it is to be produced, and to whom it is to be allocated by the comprehensive survey of the economic system as a whole”.

In 1876, when Dadabhai Naoroji wrote his 'Poverty of India' it was realized that India's poverty could be eradicated only if efforts in some planned way were made. Planning was adopted for the first time in the world by Soviet Union with the First Five Year Plan in 1928.

PLANNING EFFORTS PRIOR TO INDEPENDENCE

1 1934 – VISVESVARAYA PLAN

In his famous book, “Planned Economy For India”, published in 1934, Mokshagundam Visvesvaraya proposed a ten-years' plan with the aim of doubling the income of the country. His main emphasis was on industrialization so as to reduce the population dependent on agriculture and to increase the population employed in industry.



He proposed the first blueprint of Indian Planning.

2 1938 – NPC

The Congress had adopted an economic programme and an agrarian programme in 1931 and 1936 respectively. The Wardha session of 1937 passed a resolution in favour of national planning. National Planning Committee (NPC) was set up by the then Congress President, Subhas Chandra Bose (Haripura Session) and requested Pandit Jawaharlal Nehru to become its Chairman in 1938.



NPC published its report in 1949.

PLANNING EFFORTS PRIOR TO INDEPENDENCE



It is intended to double the per capita income within 15 years.

The aim of the Bombay Plan was to attain in fifteen years' time, "a general standard of living which would leave a reasonable margin over the minimum requirements of human life". This minimum requirement comprised food, clothing, shelter, healthcare, and basic education

3 1944 – BOMBAY PLAN

- “A Plan for Economic Development” popularly known as “Bombay Plan” 15-year economic plan for India proposed by a group of industrialists and technocrats in January 1944.
- FICCI (Federation of Indian Chambers of Commerce & Industry) endorsed the plan at its annual meeting in 1944.
- The contribution of agriculture, industry, and services to GDP would change from 53, 17, and 22% respectively at the time, to 40, 35, and 20% at the end of the proposed plan.
- Agrarian restructuring and promotion of medium scale, small scale and cottage industries and social welfare are other prominent components.

PLANNING EFFORTS PRIOR TO INDEPENDENCE

4 1944 – BRITISH EFFORTS

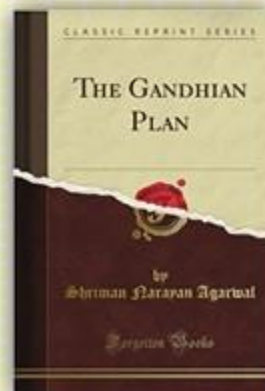
- In 1944, the Viceroy of India invited Sir Ardeshir Dalal to join the Executive Council as member-in-charge of planning and development.
- Hence British Government established Department of Planning and Development under Sir Ardeshir Dalal.



*Finally the
Department was
abolished in 1946.*

5 1944 – GANDHIAN PLAN

- With the spirit of the Gandhian economic thinking, Sriman Narayan Agarwal formulated this plan.
- It is known as “The Gandhian Plan”.
- He put emphasis on the expansion of small unit production and agriculture. Its fundamental feature was decentralization of economic structure with self-contained villages and cottage industries.



PLANNING EFFORTS PRIOR TO INDEPENDENCE

6 1945 – PEOPLE'S PLAN

- The People's Plan was Authored by M N Roy and drafted by the Post- War Reconstruction Committee of the Indian Federation of Labour.
- Plan was based on Marxist Socialism with focus on “basic necessities of life”
- Agriculture and industrial sectors are given prominence.
- Agricultural development is through
 - Extension of the area under cultivation
 - Intensification of cultivation
- It also gives priority to the manufacture of consumer goods.
- It recommends the rapid development of the means of communication and transport.

7 1946 – ADVISORY PLANNING BOARD

In 1946, an Advisory Planning Board was set up by the interim Government of India with K.C. Neogi as its Chairman. It was to make recommendations about co-ordination and improvement of planning, future planning machinery and set objectives and priorities. It was of the view that there should be a single and compact authoritative organisation concerning itself with the whole field of development and be made responsible direct to the Cabinet.

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